



ScholIQen

LEARN • PRACTICE • EXCEL

— One Platform. Every Subject. Limitless Future. —



LEARN



SIMULATE



PRACTICE



CBT EXAMS



AI TUTOR



TRACK PROGRESS

COURSE MATERIAL

For

COMMERCE

© 2026 Scholiquen Learning Platform. All Rights Reserved.

No part of this publication may be reproduced, stored in a retrieval system, transmitted, distributed, or copied in any form or by any means—electronic, mechanical, photocopying, recording, scanning, or otherwise—without the prior written permission of the copyright holder, except for brief quotations used for educational review, research, or other purposes permitted by applicable copyright law.

This study guide has been prepared primarily for educational and academic purposes to support teaching, learning, and independent study. Every effort has been made to ensure the accuracy and reliability of the information contained herein. However, the publisher and authors accept no responsibility for any errors, omissions, or consequences arising from the use of this material.

Students are encouraged to complement this study guide with lectures, laboratory practicals, recommended textbooks, and other approved academic resources for a more comprehensive understanding of the course.

Published by:
Scholiquen Learning Platform

Website: <https://scholiquen.com>

Email: scholiquen@gmail.com

First Edition: 2026

All rights reserved

Study Guide

About This Study Guide

This Commerce Study Guide is designed to assist students in understanding and applying fundamental concepts relating to commerce, occupation, production, division of labour, specialization, exchange, retail trade, wholesale trade, and warehousing.

The guide provides a structured approach to learning the major topics in the course. Each study session focuses on an important commercial concept and provides an explanation of the knowledge and skills students are expected to develop.

Students are encouraged to study each section carefully, work through relevant examples, participate in classroom activities, and relate commercial concepts to real-life business situations. The guide also provides opportunities for revision and examination preparation. Regular study and practical observation are essential because commercial knowledge is strengthened through understanding, discussion, and application.

Course Overview / Course Aim / Course Objectives

This course introduces students to important concepts in Commerce and develops their understanding of how goods and services are produced, distributed, exchanged, and consumed.

The course also introduces students to different occupations, methods of production, division of labour, specialization, retailing, wholesaling, and warehousing. Students will learn how these activities contribute to the movement of goods and services from producers to final consumers.

The course aims to help students:

- Define commerce and explain its meaning and scope.
- Identify and explain the major functions of commerce.
- Understand the meaning and types of occupation.
- Explain the importance of occupation to individuals and society.
- Define production and identify the factors of production.
- Explain the different stages and types of production.
- Understand the concepts of division of labour and specialization.
- Explain the advantages and disadvantages of division of labour and specialization.
- Understand the meaning and importance of exchange.
- Explain the meaning and functions of retail trade.
- Identify and describe different types of retailers.
- Understand the characteristics of small-scale retailing.
- Explain the advantages and disadvantages of small-scale retail businesses.
- Understand the characteristics and operations of large-scale retailing.
- Identify modern trends in retailing.
- Explain the meaning and functions of wholesale trade.
- Distinguish between wholesalers and retailers.
- Understand the meaning, functions, and importance of warehousing.
- Identify different types of warehouses.
- Develop an understanding of how commerce contributes to economic development.
- Apply commercial concepts to everyday business activities.
- Prepare effectively for tests and examinations.

Major Topics Covered

- Meaning, scope, and functions of commerce.
- Branches of commerce.
- Importance of commerce to individuals, businesses, and society.
- Meaning and types of occupation.
- Factors that influence choice of occupation.
- Meaning and types of production.
- Factors of production.
- Division of labour.
- Specialization.
- Advantages and disadvantages of division of labour and specialization.
- Meaning and importance of exchange.
- Retail trade.
- Functions of retailers.
- Types of retailers.
- Small-scale retailing.
- Characteristics of small-scale retailers.
- Advantages and disadvantages of small-scale retailing.
- Large-scale retailing.
- Departmental stores, supermarkets, and other large-scale retailers.
- Modern trends in retailing.
- E-commerce and online retailing.
- Self-service and other modern retail practices.
- Wholesale trade.
- Functions of wholesalers.
- Types of wholesalers.
- Differences between wholesalers and retailers.
- Warehousing.
- Functions and importance of warehouses.
- Types of warehouses.
- Revision and examination preparation.

Background to the Course

Commerce is an important area of study concerned with the activities involved in the production, distribution, exchange, and consumption of goods and services. It helps students understand how business activities are organized and how goods and services move from producers to consumers.

Commerce plays an important role in everyday life because individuals and businesses depend on the buying and selling of goods and services. Activities such as transportation, banking, insurance, advertising, communication, wholesaling, and retailing help to facilitate trade and make goods and services available to consumers.

The study of occupation helps students understand the different ways through which people earn a living. Production introduces students to the process of creating goods and providing services and helps them understand the importance of land, labour, capital, and entrepreneurship.

Division of labour and specialization explain how production can be organized by allowing individuals and businesses to concentrate on particular tasks or activities. These concepts help students understand how efficiency and productivity can be improved.

Retailing and wholesaling are important parts of the distribution process. Retailers sell goods to final consumers, while wholesalers purchase goods in large quantities from producers and sell them to retailers and other businesses.

Warehousing also plays an important role in commerce by providing facilities for storing goods until they are needed. Modern developments in technology have further changed the way goods are marketed and sold, with online shopping, electronic payment systems, and other forms of digital commerce becoming increasingly important.

This study material introduces students to these concepts in a systematic manner. Students are expected to develop both theoretical knowledge and practical understanding through regular study, discussion, observation, and application.

Course Study Sessions

Session 1: Meaning, Scope and Functions of Commerce

Students will learn the meaning and definition of commerce and understand its importance in business and economic activities.

The session introduces the scope of commerce and explains the major activities involved in the movement of goods and services from producers to consumers. Students will study the branches of commerce and understand the relationship between trade and aids to trade.

Students will also learn about the functions and importance of commerce to individuals, businesses, and society. Examples from everyday commercial activities will be used to help students understand the practical application of commerce.

Session 2: Occupation

Students will learn the meaning of occupation and understand why people engage in different economic activities.

The session introduces the major types of occupation, including employment, business, and professions. Students will examine the characteristics of different occupations and understand how individuals choose occupations based on their skills, interests, qualifications, opportunities, and economic circumstances.

Students will also learn about the importance of occupation in providing income, meeting human needs, and contributing to economic development.

Session 3: Production

Students will learn the meaning of production and understand the process of creating goods and providing services to satisfy human wants.

The session introduces the different types of production, including primary, secondary, and tertiary production. Students will examine the relationship between these stages and understand how raw materials are transformed into finished goods and services.

Students will also study the factors of production, including land, labour, capital, and the entrepreneur. The functions and importance of each factor in the production process will be discussed.

Session 4: Division of Labour, Specialization and Exchange

Students will learn the meaning of division of labour and specialization and understand how they are used to improve production.

The session explains how production can be divided into different tasks and how workers or businesses can concentrate on activities in which they have particular skills or advantages.

Students will study the advantages and disadvantages of division of labour and specialization. They will also learn about exchange and understand how specialization creates the need for individuals, businesses, and countries to exchange goods and services.

The session will help students understand how exchange contributes to trade and economic development.

Session 5: Retail Trade

Students will learn the meaning of retail trade and understand the role of retailers in the distribution of goods and services.

The session explains the functions performed by retailers, including buying goods, breaking bulk, storing goods, providing information, displaying products, and selling goods to final consumers.

Students will also study different types of retailers and examine the characteristics of retail businesses. Examples of retail activities in the local community will be used to help students connect classroom knowledge with real-life business practices.

Session 6: Small-Scale Retailing

Students will learn the meaning and characteristics of small-scale retailing.

The session introduces different forms of small-scale retailing, including hawkers, street traders, market traders, kiosks, small shops, and other independent retailers.

Students will examine the advantages and disadvantages of small-scale retailing to retailers and consumers. They will also learn about the factors that influence the success and location of small-scale retail businesses.

The session will help students understand the contribution of small-scale retailers to employment, income generation, and the distribution of goods within communities.

Session 7: Large-Scale Retailing

Students will learn about large-scale retailing and understand how large retail businesses operate.

The session introduces different forms of large-scale retailing, including department stores, supermarkets, multiple shops, chain stores, and other large retail organizations.

Students will study the characteristics, advantages, and disadvantages of large-scale retailing. They will compare large-scale retailers with small-scale retailers and examine factors such as capital requirements, purchasing methods, location, pricing, storage, and management.

Students will also learn how large retailers use modern technology and business practices to improve their operations.

Session 8: Modern Trends in Retailing

Students will learn about recent developments and changing practices in the retail industry.

The session introduces modern retailing methods such as online shopping, e-commerce, home delivery, electronic payment systems, self-service, mobile commerce, and digital marketing.

Students will examine how technology has changed the relationship between retailers and consumers. They will also discuss the advantages and challenges associated with modern retailing.

The session will help students understand how businesses adapt to changes in consumer preferences, technology, competition, and the wider business environment.

A review of the first half-term's work may also be conducted to assess students' understanding and progress.

Session 9: Wholesale Trade

Students will learn the meaning of wholesale trade and understand the role of wholesalers in the distribution process.

The session explains the functions performed by wholesalers, including buying in bulk, breaking bulk, storing goods, financing retailers, providing market information, and assisting in the distribution of goods.

Students will study different types of wholesalers and examine their characteristics and functions. They will also learn the differences between wholesalers and retailers and understand how both contribute to the distribution of goods.

Session 10: Warehousing

Students will learn the meaning and importance of warehousing in commerce.

The session explains the functions of warehouses, including the storage and protection of goods, price stabilization, regular supply of goods, and the facilitation of large-scale production and distribution.

Students will study different types of warehouses and understand their uses. They will also examine the importance of warehousing to manufacturers, wholesalers, retailers, and consumers.

The session provides an opportunity for comprehensive revision of the topics covered during the term. Students will review important concepts, practise examination-style questions, identify areas of difficulty, and prepare for the final examination.

Recommended Study Approach

Students should:

- Read each topic carefully before attempting exercises.
- Understand important commercial terms and their meanings.
- Learn the differences between related commercial concepts.
- Study the functions and characteristics of different business organizations.
- Use real-life examples to understand commercial activities.
- Observe retail and wholesale activities within their communities.
- Study the advantages and disadvantages of different forms of trade.
- Practise answering questions using clear and relevant points.
- Use diagrams, tables, and comparisons where appropriate.
- Relate classroom concepts to actual business activities.
- Review previous lessons regularly.
- Attempt past questions and examination-style exercises.
- Discuss commercial topics with classmates and teachers.

- Use revision periods to identify and correct areas of weakness.
- Keep up with modern developments in commerce and retailing.
- Prepare adequately before periodic tests and examinations.

Consistent study, careful observation, regular revision, and a clear understanding of commercial principles will help students develop strong knowledge of Commerce and prepare effectively for further studies and examinations.

Reference Book

New School Commerce for Senior Secondary Schools

[Insert Author/Publisher according to the approved school textbook]

STUDY SESSION ONE: Scope and Functions of Commerce

1.0 INTRODUCTION

This session provides learners with a detailed explanation of the fundamental concepts of Commerce, its scope, and its importance in the economic and business environment. It introduces Commerce as a field of study concerned with the exchange and distribution of goods and services from producers to final consumers.

The session also explains the scope of Commerce, including **trade and aids to trade** such as transport, banking, insurance, warehousing, communication, advertising, and other business services. It highlights how these activities facilitate the smooth movement of goods, services, money, and information within local, national, and international markets.

Furthermore, the session examines the major functions of Commerce and explains how commercial activities contribute to production, distribution, consumption, employment creation, economic growth, and improved standards of living. It also emphasizes the importance of Commerce in connecting producers with consumers and facilitating business transactions.

1.1 LEARNING OUTCOMES FOR THE STUDY SESSION 1

When you have studied this session, you should be able to:

- i. Define Commerce and explain its meaning as a field of study.
- ii. Explain the scope of Commerce and identify its major components.
- iii. Distinguish between **trade** and **aids to trade**.
- iv. Identify and explain the major aids to trade, including banking, insurance, transportation, warehousing, communication, and advertising.
- v. Explain the major functions of Commerce in the production and distribution of goods and services.
- vi. Describe the importance of Commerce to producers, consumers, businesses, and the economy.
- vii. Explain how Commerce facilitates the movement of goods, services, money, and information from producers to consumers.
- viii. Relate commercial activities to employment creation, economic development, and improved standards of living.

1.1 DEFINITION OF COMMERCE

Commerce is the study of the production, distribution, and exchange of goods and services to satisfy human needs and wants and provide a means of livelihood

1.2 THE IMPORTANCE (FUNCTIONS) OF COMMERCE

1. It provides employment opportunities for the people.
2. It makes production and exchange of goods and services possible.
3. It improves the standard of living of people by making modern goods available.
4. It aids national and international co-operation by ensuring inter-dependence of nations
5. It facilitates division of labour and specialization.
6. It brings technological innovation and aids infrastructural development.

1.3 STAGES IN THE HISTORY AND DEVELOPMENT OF COMMERCE

- (i) Earliest time: - Production was subsistent in nature.
- (ii) Exchange of goods and services by barter.
- (iii) Exchange of goods and services through the use of commodity money.
- (iv) Introduction of money – notes and coins as a medium of exchange
- (v) Improvement in aids to trade.

EVALUATION

1. What is Commerce?
2. State four functions of Commerce

1.4 FACTORS THAT DELAYED THE DEVELOPMENT OF COMMERCE IN NIGERIA/ WEST AFRICA

1. Political instability
2. Low savings
3. Absence of developed markets
4. Poor communication system
5. Illiteracy
6. Inadequate capital
7. Low level of technology
8. Inadequate infrastructural facilities / poor infrastructural facilities
9. Low National income

1.5 FACTORS THAT HAVE CONTRIBUTED TO THE GROWTH OF COMMERCE IN NIGERIA/WEST AFRICA

1. Development of modern techniques of production
2. Political stability
3. Development of financial institutions
4. Development of efficient means of transportation and communication
5. Availability of warehousing facilities
6. Improvements in aids to trade e.g. Insurance, Advertising etc
7. Advancement in levels of education / literacy

1.6 DIVISIONS OF COMMERCE

Commerce can be grouped into two main branches or divisions namely:

1. Trade
2. Aids to trade
The aids to trade can be subdivided into:
 - (a) Transport (b) Insurance (c) Banking and Finance (d) Advertising
 - (e) Warehousing (f) Communication (g) Tourism

EVALUATION

1. Why is Commerce so essential to modern Society?
2. Set out carefully the principal divisions of Commerce and give an idea of the relative importance of each division.

READING ASSIGNMENT

1. Essential Commerce for SSS by O.A. Longe Page 1-8
2. Comprehensive Commerce for SSS by J.U Anyaele Page 29-36

WEEKEND ASSIGNMENT

1. The main divisions of commerce are (a) Home trade and foreign trade (b) Transportation and warehousing (c) Trade and aids to trade (d) Wholesale and Retail trade
2. Which of the following is not a benefit of commerce? It (a) Facilitates the movement of goods and services (b) Provides employment to people (c) Increases the cost of living (d) Makes funds available for business activities
3. All are aids to trade except (a) Advertising (b) Transportation (c) Retailing (d) Banking
4. Which of the following can be defined as trade and aid to trade? (a) Advertising (b) Commerce (c) Warehousing (d) Retailing
5. Which of the following is not a basic want of man? (a) Transport (b) Food (c) Water (d) Clothing

THEORY

1. State three ancillary services to trade .
2. Mention three ways by which transport aids trade.

GENERAL EVALUATION

1. What is Commerce?
2. State and explain the importance of any five ancillary services to trade.
3. Give any five advantages of advertising.
4. State five ways in which warehousing is useful to businessmen.
5. In what ways does transport aid trade.

STUDY SESSION TWO: Occupation

2.0 INTRODUCTION

This session provides learners with a detailed explanation of the concept of Occupation, its meaning, types, characteristics, and importance to individuals and society. Occupation refers to the regular activity or work that an individual engages in, usually to earn a living and satisfy personal and economic needs.

The session introduces learners to different types of occupations, including primary, secondary, and tertiary occupations. It explains how people engage in activities such as farming, fishing, manufacturing, trading, transportation, banking, teaching, medicine, and other professional and service-related activities.

Furthermore, the session examines the importance of occupation to individuals, businesses, and the economy. It highlights how occupations provide sources of income, create employment opportunities, promote economic development, improve standards of living, and contribute to the production and distribution of goods and services.

2.1 LEARNING OUTCOMES FOR THE STUDY SESSION 2

When you have studied this session, you should be able to:

- i. Define Occupation and explain its meaning.
- ii. Explain the major types of occupations.
- iii. Identify and describe primary, secondary, and tertiary occupations.
- iv. Give examples of different occupations carried out by individuals in society.
- v. Explain the importance of occupation to individuals and families.
- vi. Describe the contribution of different occupations to economic development.
- vii. Explain how occupations create employment and generate income.
- viii. Relate occupation to the production, distribution, and consumption of goods and services.

2.2 DEFINITION OF OCCUPATION

Occupation can be defined as any job that is legal in which people are engaged in order to earn a living.

2.3 CLASSIFICATION OF OCCUPATIONS

Occupations are classified into six major divisions namely:

1. Extractive Occupation
2. Manufacturing Occupation
3. Constructive Occupation
4. Commercial Occupation
5. Direct Services
6. Indirect Services

1. **EXTRACTIVE OCCUPATION:** This involves all kinds of works concerned with the extraction of natural resources from the soil, the sea or forest eg farming, fishing, hunting, lumbering, mining, quarrying etc.
2. **MANUFACTURING OCCUPATION:** Workers involved in this occupation are engaged in changing the form of raw materials extracted from the soil or sea into finished or semi – finished products e.g. raw rubber to vehicle tires, raw cotton to textile material etc.
3. **CONSTRUCTIVE OCCUPATION:** Workers involved in this occupation are engaged in assembling the various components from extractive and manufacturing industry and building them into organized usable structures eg bringing iron rod, cement, planks, sand, and corrugated iron sheet to make a building.

EVALUATION

1. Give four examples of extractive occupations.
2. Give three examples of commercial occupations.
4. **COMMERCIAL OCCUPATION:** This is referred to as secondary occupation and comprises those groups of people who make it possible for goods and services produced to be made available to people who need them e.g. Insurance, transport, advertising, warehousing, communication, banking and finance.
5. **DIRECT SERVICES:** These include those whose economic activities involves giving satisfaction, amusement, entertainment and rendering personal services to others. They are services rendered directly and paid for directly e.g. barbing, musicians, doctors, steward, driver's actors etc
6. **INDIRECT SERVICES:** These involve those who earn their living by rendering services to the public. The workers involved are paid by the government for the services they render e.g. civil servants, policemen, soldiers, customs, fire service personnel etc.

2.4 FACTORS INFLUENCING OCCUPATION

- (i) Education and Training (ii) Natural skills and talent (iii) Remuneration
- (iv) Government policy (v) Personal interest (vi) Nature of the job available
- (vii) Age (viii) Sex (ix) Customs / family background (x) Geographical features
- (xi) Natural Resources Endowment (xii) Extraneous factors e.g. health, life ambitions, peer pressure etc.

EVALUATION

1. Draw a diagram showing the six classifications of occupations.
2. Differentiate between Direct Services and Indirect Services.

READING ASSIGNMENT

1. Essential Commerce for SSS by O.A Longe Page 9-12
2. Comprehensive Commerce for SSS by J.U Anyaele Page 42-43

WEEKEND ASSIGNMENT

1. Which of the following is concerned with changing raw materials to finished goods? (a) Extractive occupation (b) Manufacturing occupation (c) Constructive occupation (d) Commercial occupation
2. Which of the following is not a function of commerce? (a) advertising goods (b) creation of goods (c) increasing profit made (d) distribution of goods.
3. An industry whose major actors consist of those engaged in sourcing raw materials from the earth surface is known as _____ industry (a) commercial (b) construction (c) extractive (d) mining.
4. The services offered by the following people could be grouped under direct services except (a) Doctors (b) entertainers (c) policemen (d) teachers.
5. The services of a teacher is in the classification of (a) commerce (b) direct services (c) extractive occupation (d) indirect services.

THEORY

1. List any four factors that affect employment.
2. Give four examples of commercial occupations.

GENERAL EVALUATION

1. State three ways in which businesses contribute to the development of the nation.
2. Explain with the aid of a diagram, the main divisions of Commerce.
3. List five importance of Commerce to the economy of Nigeria.
4. State five aids to trade and explain how each facilitates trade.
5. Describe five ways by which commercial banks facilitates trading activities.

STUDY SESSION THREE: PRODUCTION

3.0 INTRODUCTION

This session provides learners with a detailed explanation of the concept of **Production**, its meaning, types, factors, and importance in economic activities. Production refers to the process of creating goods and providing services to satisfy human wants and needs. It involves the transformation of resources or inputs into useful goods and services.

The session introduces learners to the different types of production, including **extractive, manufacturing, and constructive production**, as well as the production of services. It explains how production activities are carried out in different sectors of the economy and how producers combine various resources to create goods and services.

Furthermore, the session examines the major factors of production, namely **land, labour, capital, and entrepreneur**. It explains the role played by each factor in the production process and highlights the importance of production in creating employment, generating income, satisfying human wants, promoting trade, and contributing to economic development.

3.1 LEARNING OUTCOMES FOR THE STUDY SESSION

When you have studied this session, you should be able to:

- i. Define **Production** and explain its meaning.
- ii. Explain the importance of production in satisfying human wants and needs.
- iii. Identify and explain the major types of production.
- iv. Distinguish between **extractive, manufacturing, constructive, and service production**.
- v. Identify and explain the **factors of production**, namely land, labour, capital, and entrepreneur.
- vi. Explain the roles of the different factors of production in the production process.
- vii. Describe the importance of production to individuals, businesses, and the economy.
- viii. Explain how production contributes to employment creation, income generation, trade, and economic development.

3.2 DEFINITION OF PRODUCTION

Production is the changing of raw materials into finished goods and the distribution and provision of goods and services in order to satisfy human wants. Production is also referred to as the creation of utility. (Utility is the ability of any commodity or services to satisfy human wants).

3.3 TYPES OF GOODS

1. **CAPITAL GOODS (PRODUCER GOODS):** These are goods which are used for further production of goods and services e.g. raw materials, machines, trucks etc.
2. **CONSUMER GOODS:** These are goods and services which are ready for use by the final consumer e.g. bread, milk, services of a teacher etc.

3.4 CLASSIFICATION OF PRODUCTION

1. **PRIMARY PRODUCTION:** This involves the extraction of raw materials from the soil or sea e.g. mining, farming, fishing etc.
2. **SECONDARY PRODUCTION:** This entails the conversion of raw materials into finished or semi-finished products e.g. manufacturing of cars, fan, clothes chemicals e.t.c.
3. **TERTIARY PRODUCTION:** This is the stage where the goods and services made available at the above two stages are taken to those who are in need of them. It includes the activities of those who help to bring finished goods to the consumers e.g. transport, communication, insurance, banking etc.

EVALUATION

1. Differentiate between producer goods and consumer goods.
2. Explain the following terms and show the relationship between them.

3.5 FACTORS OF PRODUCTION

The factors of production are the resources that are combined together for production to take place. They are:

1. **LAND:** This refers to the resources provided free by nature e.g. soil, sunshine, rain, minerals, forest, fishing grounds etc. The reward for land as a factor of production is RENT.
2. **LABOUR:** Labour is the physical and mental efforts of man directed to the production process. Labour may be unskilled, semi-skilled or skilled. The reward for Labour is WAGES.
3. **CAPITAL:** This is the resources or wealth made by man that is used for producing further wealth e.g. machinery, motor vehicles, cash e.t.c
4. **ENTREPRENEUR:** This is the factor that organizes or co-ordinates other factors of production for more productive purposes. The reward for entrepreneurship is PROFIT

3.6 FUNCTIONS OF THE ENTREPRENEUR

1. Risk bearing
2. He takes decisions relating to the business.
3. Co-ordination of other factors of production
4. Provision of capital
5. He initiates the business.
6. Organization of research

3.7 THE PROCESS OF PRODUCTION

This refers to the series of activities and stages involved in creation of goods and services as well as getting them to the final consumer who will use them. Production is said to be complete when the goods and services produced reach the final user or consumer.

Therefore the production process includes the stages or activities of those who aid production and trade e.g. transport, warehousing etc.

EVALUATION

1. State five characteristics of land as a factor of production.
2. List six functions of the entrepreneur.

READING ASSIGNMENT

1. Essential commerce for SSS by O.A Longe Page 13 - 16
2. Comprehensive commerce for SSS by J.U Anyaele Page 47 – 49

WEEKEND ASSIGNMENT

1. The reward for labour as a factors of production is (a) interest (b) profit (c) rent (d) wages
2. The factors of production that combines other factors and bears the risk in the production process is (a) Capital (b) Entrepreneur (c) Land (d) Labour
3. Goods are given utility by (a) Changing their forms and location (b) Consuming them (c) Costing their value (d) Packing and measuring them
4. What is NOT the function of an entrepreneur (a) Bearing risks (b) Deciding on tax to pay (c) Deciding on what to produce (d) Organizing other factors
5. The reward for capital as a factor of production is (a) Dividend (b) Rent (c) Profit (d) Interest.

THEORY

1. Define Production.
2. List four factors of production.

GENERAL EVALUATION

1. What is production?
2. Explain the different activities involved in industrial, commercial and service occupations.
3. State five factors that have contributed to the growth of Commerce
4. Illustrate with a well labeled diagram the main divisions and subdivisions of production
5. Explain five reasons why communication is important in Commerce

STUDY SESSION FOUR: Division of Labour, Specialization and Exchange

4.0 INTRODUCTION

This session provides learners with a detailed explanation of **Division of Labour, Specialization and Exchange**, and their importance in economic and commercial activities. Division of labour refers to the process of breaking down the production of goods or services into different stages, with each worker or group of workers performing a particular task.

The session also introduces learners to **specialization**, which occurs when an individual, business, region, or country concentrates on producing a particular good or service in which it has greater skill, efficiency, or advantage. Specialization enables producers to develop expertise, increase productivity, save time, and improve the quality of goods and services.

Furthermore, the session examines **exchange** as the process through which goods and services are transferred from one person or organization to another in return for money or other goods and services. It explains the relationship between division of labour, specialization, and exchange, and how these activities encourage trade and promote efficient production.

The session also highlights the advantages and limitations of division of labour and specialization and explains how they contribute to increased productivity, employment, trade, economic growth, and improved standards of living.

4.1 LEARNING OUTCOMES FOR THE STUDY SESSION 4

When you have studied this session, you should be able to:

- i. Define **Division of Labour** and explain its meaning.
- ii. Define **Specialization** and explain its importance in production.
- iii. Explain the meaning and importance of **Exchange**.
- iv. Identify and explain the different forms of division of labour.
- v. Distinguish between **division of labour and specialization**.
- vi. Explain the advantages and disadvantages of division of labour and specialization.
- vii. Describe the relationship between division of labour, specialization, and exchange.
- viii. Explain how division of labour and specialization contribute to increased productivity, trade, employment, and economic development.

4.2 Division of Labour

Division of Labour is the breaking down of production processes into different stages so that each stage is undertaken or handled by an individual. For example, division of labour occurs in a textile factory where separate processes like spinning, weaving and dyeing are undertaken by separate workers in each case.

Specialization is the process whereby an individual, a firm or a country concentrates or limits its productive efforts on particular areas of production in which it has the greatest advantage over others.

The principal aim of both division of Labour and specialization is to increase output at a lower cost of production.

4.3 ADVANTAGES OF DIVISION OF LABOUR/ SPECIALIZATION

- (1) Greater skill and dexterity of workers
- (2) Increased total output
- (3) It saves time.
- (4) Less fatigue
- (5) It makes possible the use of machines.
- (6) Reduction in the cost of production i.e. per unit cost
- (7) It enhances the development of technology.

EVALUATION

1. Define the term Division of Labour
2. State five advantages of Division of Labour.

4.4 DISADVANTAGES OF DIVISION OF LABOUR/SPECIALIZATION

1. It makes work monotonous
2. The use of machines reduces employment opportunities
3. It brings about labour immobility
4. Decline of craftsmanship
5. Danger of increased inter-dependence among individuals, industries or countries.

4.5 LIMITATIONS OF DIVISION OF LABOUR

- 1) The size or extent of the market i.e. the extent of demand for the particular commodity
- 2.) The availability of Labour
- 3) The nature of the product being produced
- 4) The availability of capital i.e. to pay the various workers involved, buy raw materials, machines e.t.c
- 5) Government policy

4.6 EXCHANGE

Exchange refers to the process of transferring goods and services from one person, firm, or country to another in return for money or other goods and services. It occurs because individuals and producers cannot produce everything they need by themselves.

Division of labour and specialization create a situation where people concentrate on producing particular goods or services. As a result, they become **dependent on one another** for other goods and services they do not produce. This inter-dependence makes exchange necessary.

For example, a farmer may specialize in producing maize, while a tailor specializes in making clothes. The farmer needs clothes, while the tailor needs food. They therefore

exchange their products, usually through the use of money. In this way, exchange enables both individuals to obtain goods and services that they cannot produce themselves.

Exchange can take place at different levels, including:

- i. **Individual Exchange:** This occurs between individuals when they buy and sell goods or services to satisfy their needs.
- ii. **Business Exchange:** This occurs between firms or businesses when they buy raw materials, equipment, or services and sell their finished products.
- iii. **National Exchange:** This refers to the exchange of goods and services between different regions or areas within the same country.
- iv. **International Exchange:** This occurs when countries buy and sell goods and services from one another through **international trade**.

Importance of Exchange

Exchange is important because it:

- i. Enables people to obtain goods and services they cannot produce themselves.
- ii. Encourages **specialization** by allowing producers to concentrate on activities in which they are most efficient.
- iii. Promotes **trade** between individuals, firms, and countries.
- iv. Makes it possible for producers to sell their surplus goods and obtain income.
- v. Provides consumers with a variety of goods and services.
- vi. Encourages efficient use of resources and increases productivity.
- vii. Creates employment opportunities in trading and other commercial activities.
- viii. Promotes economic development by encouraging production, trade, and investment.

In summary, **exchange is a necessary consequence of division of labour and specialization**. Since no individual, firm, or country can efficiently produce everything it needs, exchange allows them to obtain the goods and services produced by others.

EVALUATION

1. Define Specialization.
2. Explain the difference between Division of Labour and Specialization
3. State three limitations of Division of Labour

READING ASSIGNMENT

1. Essential Commerce for SSS by O.A Longe page 16-18
2. Comprehensive for SSS by J.U Anyaele page 53-57

WEEKEND ASSIGNMENT

1. Who among the following engages in manufacturing occupation? (a) Bricklayer (b) Carpenter (c) Miner (d) Spinner
2. The factor of production that has a relatively fixed supply is (a) Capital (b) Entrepreneurship (c) Land (d) Labour
3. Which of the following activities involves the extraction of raw materials? (a) Baking (b) Building (c) Dressmaking (d) Fishing
4. At what time is production said to be complete? When the product (a) is made (b) is in the warehouse (c) is in the market (d) Gets to the consumer
5. Any human effort which leads to the satisfaction of wants is (a) Consumption (b) Organization (c) Production (d) Specialization.

THEORY

1. State four disadvantages of Specialization
2. List three Limitations of division of Labour.

GENERAL EVALUATION

1. State the difference between industry and commerce.
2. Mention and explain five types of commercial occupations.
3. With the aid of a diagram, illustrate the scope of commerce.
4. List seven factors that delayed the development of commerce in Nigeria.
5. State seven characteristics of land as a factor of production.

STUDY SESSION FIVE: Retail

5.0 INTRODUCTION

This session provides readers with a detailed explanation of the fundamental concepts of retailing, its meaning, nature, scope, and importance in the distribution of goods and services. It introduces retailing as an essential business activity that connects producers and wholesalers with final consumers by making products available in convenient quantities, locations, and forms.

The session also explains the role of retailers within the distribution channel and examines the various functions performed by retailers, including buying, selling, storage, transportation, financing, risk-bearing, product promotion, and providing information to consumers. In addition, it highlights the contribution of retailing to economic development, employment generation, customer satisfaction, and the efficient movement of goods and services.

Furthermore, the session introduces the major types of retailers, including small-scale and large-scale retailers, department stores, supermarkets, specialty stores, convenience stores, discount stores, and non-store retailers. It also examines the changing nature of retailing as a result of technological advancement, digital commerce, changing consumer behaviour, and increasing competition in the marketplace.

The session further emphasizes the importance of understanding consumers, retail markets, product assortment, pricing, location, customer service, and promotional activities. These concepts provide a foundation for understanding how retail businesses operate and how retailers create value for both producers and consumers.

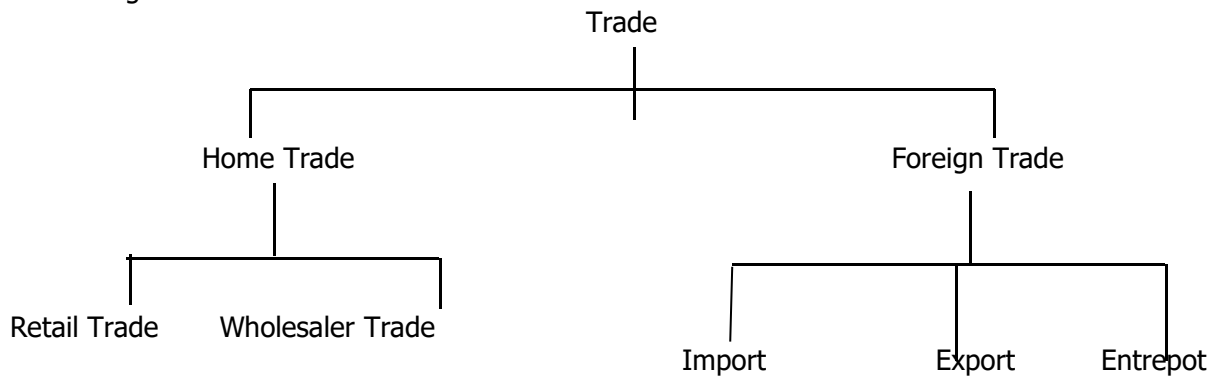
5.1 LEARNING OUTCOMES FOR THE STUDY SESSION 5

When you have studied this session, you should be able to:

- i. Define retailing and explain its nature and scope as a business activity.
- ii. Explain the importance of retailing in the distribution of goods and services.
- iii. Identify and describe the major functions performed by retailers.
- iv. Explain the role of retailers within the distribution channel.
- v. Identify and distinguish between the major types and forms of retail businesses.
- vi. Explain the contribution of retailing to consumers, producers, and the economy.
- vii. Describe the major factors influencing the development and changing nature of retailing.

5.2 TRADE

Trade (Trading) is the buying and selling of goods and services. It is divided into Home Trade and Foreign Trade.



Home Trade involves the exchange (i.e. buying and selling) of goods and services within a country and sub-divided into wholesale trade and retail trade.

5.3 RETAIL TRADE

Retail trade involves buying in small quantities from the wholesaler or the manufacturer and selling in units (bits or fractions) to the final consumers.

CHARACTERISTICS OF THE RETAILER/RETAIL TRADE

- 1) The retailer sells in units or fractions.
- 2) The retailer stocks and sells a wide variety (range) of goods.
- 3) They sell directly to the ultimate consumers.
- 4) They buy in small quantities from the wholesaler or manufacturer.
- 5) The wares consists of fast selling products, mainly consumer goods.
- 6) A large number of small shops are involved.
- 7) They are the final link in the distribution chain.
- 8) Majority of the goods they deal in are obtained from the wholesaler.

5.4 FUNCTIONS OF THE RETAILER

A To the manufacturer:

- (i) He sells the goods produced by the manufacturer to the final consumer.
- (ii) He helps in informing the manufacturer about the likes and dislikes of the consumers either directly or through the wholesalers.
- (iii) He gives advice to the manufacturer.

B To the Wholesaler:

- (i) He provides information about consumer needs and changes in market trends to the wholesaler
- (ii) He gives advice to the wholesaler

C To the Consumer:

- (i) Provision of a variety of goods
- (ii) Granting of credit to credit –worthy customers
- (iii) Provision of useful information and advice
- (iv) Breaking the bulk i.e. selling in smallest quantities (units) to the consumer
- (v) Provision of after – sales services e.g. installation, servicing e.t.c
- (vi) Delivery of goods to the consumer's door free of charge
- (vii) Preparing the goods for sale e.g. packing or re-packing the goods to different sizes to suit the needs of the consumers
- (viii) Giving of personal attention to the consumer
- (ix) Guiding the consumer in making their choices
- (x) Completing the process of production e.g. branding of goods
- (xi) The retailer advertises the goods.
- (xii) The retailer ensures door-to-door services i.e. he brings the goods nearer to the consumer
- (xiii) Opening for business and selling at convenient
- (xiv) Delivering goods to consumers on request

EVALUATION

- 1 Who is a retailer?
- 2 Outline six features of a retailer
- 3 Explain five functions performed by a retailer

5.5 FACTORS TO BE CONSIDERED WHILE SETTING UP A RETAIL BUSINESS

- i) Amount of capital available;
- ii) Location (or the site) of the shop;
- iii) Experience and knowledge of the retail job;
- iv) Layout of the shop i.e. the plan or design of the shop must be attractive;
- v) Source of supply of the goods the retailer intends to deal in;
- vi) The pricing policy and terms of trade i.e. whether to grant discounts, credits or sell solely for cash;
- vii) The type or nature of goods to be sold;
- viii) The details of the operating plans e.g. hours of business, opening time, trading days etc;
- ix) How records will be kept.

5.6 FACTORS A RETAILER SHOULD TAKE INTO CONSIDERATION WHE MAKING HIS PURCHASES

1. Quantity of goods to be bought;
2. The extent of credit facility available to him;
3. Quality of goods must confirm to consumers needs and tastes;
4. The terms of payment i.e. discount given;
5. The cost of transporting the goods;
6. The method of delivery of the goods to him e.g. through road, rail, sea etc;
7. Any additional charges for packing or off-loading the goods;

5.7 REASONS WHY RETAIL BUSINESS MAY FAIL

- (a) Wrong purchases;
- (b) Poor recording keeping techniques i.e. inability to keep proper accounting records;
- (c) Failure to insure the business;
- (d) Extravagance, overspending i.e. spending the business money on personal expenses;
- (e) Lack of experience or knowledge of the trade;
- (f) Poor credit administration i.e. indiscriminate granting of credit facilities to customers;
- (g) Inadequate capital for running the business and for expansion;
- (h) Competition from bigger businesses;
- (i) Inability to plan properly and forecast the future;
- (j) Insensitivity to current market tends.

EVALUATION

1. Who is a retailer?
2. What factor would a retailer take into consideration in setting up an ice cream marketing business?
3. With the aid of a diagram show the divisions and sub-divisions of trade

READING ASSIGNMENT

1. Essential commerce for SSS by O.A. Longe page 20-34
2. Comprehensive commerce for SSS by J.U. Anyaele page 59-61

WEEKEND ASSIGNMENT

1. Which of the following is a function of a retailer to the consumer (a) Bulk buying (b) Breaking bulk (c) storage (d) production
2. Risks in business are borne by the (a) consumer (b) entrepreneur (c) marketing manager (d) personnel manager
3. Selling goods in small quantities for the benefits of consumers is a function of the (a) retailer (b) Wholesalers (c) manufacturers (d) factors
4. Trade may be defined as (a) Buying and selling of goods (b) Buying and selling of goods and services (c) Selling of goods and services (d) Distribution of goods.
5. Which of the following is not a function of the retailer (a) Advertising (b) Provision of after-sales services (c) Manufacturing (d) Breaking bulk

THEORY

1. State three features of retail trade
2. List three functions of the retailer to the consumer.

GENERAL EVALUATION

1. List seven features of retail trade.
2. State eight functions of the retailer
3. Give seven reasons why a retail business would fail
4. List seven factors to be considered before starting a retail business
5. Explain six functions of Commerce in an economy.

STUDY SESSION SIX: Small Scale Retailing

6.0 INTRODUCTION

This session provides readers with a detailed explanation of small-scale retailing, its meaning, characteristics, importance, and various forms. Small-scale retailing refers to retail businesses that operate on a relatively limited scale, usually serving customers within a particular locality or community. These businesses play an important role in making goods and services readily available to consumers.

The session also examines the major features of small-scale retailers, including limited capital investment, small volume of operations, personal contact with customers, relatively simple management structures, and localized markets. It explains how small-scale retailers obtain goods from wholesalers, distributors, or manufacturers and sell them directly to final consumers.

In addition, the session discusses different forms of small-scale retailing, including independent shops, hawkers, market traders, kiosks, roadside retailers, mobile retailers, and small specialty stores. Each form serves particular consumer needs and operates under different conditions depending on location, type of product, level of capital, and target market.

Furthermore, the session highlights the importance of small-scale retailing in employment creation, income generation, poverty reduction, community development, and the distribution of essential goods. It also considers the major challenges faced by small-scale retailers, such as inadequate capital, intense competition, poor storage facilities, fluctuating prices, limited access to credit, and changing consumer preferences.

The session therefore provides an understanding of how small-scale retail businesses operate, the contributions they make to the economy, and the factors that influence their success and sustainability in the retail market.

6.1 LEARNING OUTCOMES FOR THE STUDY SESSION 6

When you have studied this session, you should be able to:

- i. Define small-scale retailing and explain its meaning and scope.
- ii. Identify and describe the major characteristics of small-scale retailers.
- iii. Explain the different forms of small-scale retailing.
- iv. Discuss the major functions performed by small-scale retailers.
- v. Explain the importance of small-scale retailing to consumers and the economy.
- vi. Identify and discuss the major challenges confronting small-scale retailers.
- vii. Explain the factors that can contribute to the success and growth of small-scale retail businesses.

There are several types of size of retail outlets which for easy analysis can be grouped into two, namely: Small scale and Large scale retailing

6.2 TYPES OF SMALL SCALE RETAILING

1. Itinerant Traders: The common feature of itinerant traders is that they move from place to place to sell, thereby making goods handy for customers i.e. goods are brought to the consumer's doors. Examples of itinerant traders are hawkers, peddlers, gypsies etc

6.2B FEATURES OF HAWKING/ ITINERANT TRADING

1. Hawking is a form of small scale retail business.
2. It provides door-to door selling.
3. Hawking requires small capital outlay to set up.
4. It involves movement of goods from one place to another on the head by carts, by canoe, wheel barrows etc.
5. Hawkers do not pay rent
6. The goods are advertised to customers through shouting the wares, bell, horn, trumpet or loud speakers

6.2C ADVANTAGES OF HAWKING

1. It requires small amount of capital for its operation.
2. It provides door-to-door selling.
3. It is easy to start.
4. Hawking is a form of advertising.
5. Little or no running expenses is incurred by its operators i.e. no rent, wages etc is paid.
6. There is flexibility in its operations.
7. The goods are sold at cheap prices to customers.
8. Hawking provide employment opportunities to many who would otherwise have been unemployed.

6.2D DISADVANTAGES OF HAWKING

1. Hawkers are exposed to the dangers of road mishaps or accidents.
2. Hawking disturbs the flow of traffic i.e. it cause traffic hold-ups in urban cities e.g. Lagos.
3. Hawking deprives some children of their education.
4. Child abuse or child Labour is encouraged by hawking.
5. Hawking contributes to the littering of streets by generating refuse that are dropped on the roads.
6. Food items are exposed to health hazards e.g. dust, germs, unsanitary handling by hawkers.
7. Young hawkers are exposed to bad influence e.g. drugs, armed robbery, crime by social miscreants.
8. Hawking is stressful – hawkers are exposed to bad weather conditions like cold, intense heat e.t.c.
9. Hawking is an important avenue for the sale of fake or sub-standard goods.
10. Government is deprived of revenue as most hawkers do not pay taxes or rates to the local government.
11. Young girls engaged in hawking could be assaulted sexually leading to early pregnancies.

OTHER TYPES OF SMALL SCALE RETAILING

2. Street retailing or Roadside Traders.
These are traders who display their wares along the streets, roads or outside the gates of schools, companies or offices in town and cities.
3. Market Traders or Stall Holders
These are traders found in established markets and who operate by arranging or displaying their wares (goods) on tables, sheds or stalls. They are traders who do not operate from fixed shops.

EVALUATION

1. State five advantages of hawking.
2. State four disadvantages of small scale retail trade.
3. Explain five ways in which the activities of hawkers constitute a disadvantage to the economy.

OTHER TYPES OF SMALL SCALE RETAILING

1. **KIOSKS:** These are retail outlets that offer very limited range of consumer items e.g. cigarettes, sweets, provisions, newspaper and magazines, stationery; phone cards/call services etc. They are usually sited at places where customers frequently pass such as junctions, motor parks etc
2. **Small Store or Single Shops:** These are small stores found in front of residential houses or at shopping complexes. They are conveniently located for customers and are found in both urban and rural areas.
3. **Tied Shops:** These are shops that confine what ever they sell to single commodity which their producers supply direct to them. The shop owners are supported with finance equipment/machinery for the sale of such products by the manufacturer. Tied shops sell single product like ice cream, soft drinks, petroleum products, beer etc.
4. **Mobile shops:** These are motor vans or lorries used as shops with goods well arranged. They build up regular customers and are very convenient for consumers in remote areas. They advertise by music, microphone announcement, public address system, jingles etc.

6.3 REASONS FOR THE EXISTENCE OF MANY SMALL SCALE RETAIL BUSINESSES IN NIGERIA/WEST AFRICA

1. Lack of sufficient capital that could be used to established large retail business
2. Low savings as a result of low per capital income
3. High rate of unemployment and the difficulty in getting white collar jobs
4. Absence of developed markets
5. Small scale business requires small capital which is within the reach of many people.
6. Small scale retailing is attractive as it involves low running expenses.
7. There is flexibility in its operations: The owner can combine it with other forms of occupation and it can easily be adapted to changing conditions where necessary.

6.4 PROBLEMS ENCOUNTERED BY SMALL SCALE RETAILERS

1. Competition from big businesses e.g. price competition
2. Insufficient capital for investment and expansion of business
3. Inability to secure an ideal location because of congestion especially in urban areas
4. Bad debts i.e. inability of the business to collect debts from its debtors.
5. Unlimited liability – Small scale businesses are usually in the form of sole proprietorship or partnership.
6. Disturbance from government agencies like urban planning, revenue officials, environmental protection agencies e.t.c

EVALUATION

1. Differentiate between a kiosk and a tied shop
2. What is the similarity between a mobile shop and hawking?
3. Why are there many small scale retail traders in Nigeria?

READING ASSIGNMENT

Essential commerce for SSS by O. A Longe Page 21 - 25

WEEKEND ASSIGMENT

1. Peddling and hawking are examples of (a) large scale retailing (b) small scale retailing (c) medium scale retailing (d) small scale wholesaling
2. The term 'enterprises' denotes the ability to (a) bear risk (b) control other factors of production (c) maximize profit (d) organize other factors of production
3. Buying and selling of goods and services within the geographical area of a country is called _____ trade (a) entrepot (b) external (c) domestic (d) import

4. Which of the following is an example of itinerant trading? (a) mobile shop (b) mail order business (c) stall holding (d) selling from kiosk
5. Which of the following is not a retail outlet? (a) mobile shop (b) tied shop (c) discount house (d) kiosk

THEORY

- 1a. Who are itinerant traders?
- b. State four features of hawking.
2. State three reasons for the survival of small scale retailers in Nigeria

GENERAL EVALUATION

1. Explain five activities involved in Commerce
2. State three uses of capital as a factor of production
3. State four uses of land as a factor of production
4. List six functions of an entrepreneur
5. Explain five advantages of small scale retailing

STUDY SESSION SEVEN: Large Scale Retailing

7.0 INTRODUCTION

This session provides readers with a detailed explanation of large-scale retailing, its meaning, characteristics, forms, importance, and role in the distribution of goods and services. Large-scale retailing refers to retail businesses that operate with substantial capital, large volumes of merchandise, extensive facilities, and a relatively wide customer base. These businesses are usually organized and managed using formal structures and modern business practices.

The session also examines the major characteristics of large-scale retailers, including large capital investment, extensive product lines, centralized management, specialized departments, modern storage facilities, advanced technology, and the ability to serve a large number of consumers. It explains how large-scale retailers obtain goods directly from manufacturers, wholesalers, distributors, and other suppliers.

In addition, the session discusses the major forms of large-scale retailing, including department stores, supermarkets, hypermarkets, chain stores, shopping centres, superstores, and mail-order or online retail businesses. Each form has distinctive features and methods of operation designed to satisfy different consumer needs and market conditions.

Furthermore, the session highlights the importance of large-scale retailing in the modern economy. Large retailers contribute to employment creation, efficient distribution, economies of scale, consumer convenience, product availability, market expansion, and increased competition. They also provide consumers with a wider variety of products and services in convenient locations.

The session further examines the advantages and challenges associated with large-scale retailing. These include greater purchasing power, professional management, improved customer services, and access to modern technology, as well as challenges such as high operating costs, intense competition, complex management, and significant capital requirements.

7.1 LEARNING OUTCOMES FOR THE STUDY SESSION 3

When you have studied this session, you should be able to:

- i. Define large-scale retailing and explain its meaning and scope.
- ii. Identify and describe the major characteristics of large-scale retailers.
- iii. Explain the major forms and types of large-scale retailing.
- iv. Discuss the functions performed by large-scale retailers in the distribution process.
- v. Explain the importance and contributions of large-scale retailing to consumers and the economy.
- vi. Identify and discuss the major advantages and disadvantages of large-scale retailing.
- vii. Explain the major challenges affecting the operation and growth of large-scale retail businesses.

7.2 LARGE SCALE RETAILING

Large-scale retailing refers to the buying and selling of goods and services in large quantities through retail businesses that operate with substantial capital, extensive facilities, modern equipment, and a large customer base. These retail businesses usually have a wide range of products and employ several workers under a formal management structure.

Large-scale retailers purchase goods in large quantities from manufacturers, wholesalers, or distributors and sell them directly to final consumers. They often operate through large outlets such as department stores, supermarkets, hypermarkets, chain stores, shopping centres, and large online retail businesses.

The main objective of large-scale retailing is to provide consumers with a wide variety of goods at convenient locations and competitive prices, while achieving economies of scale through large-volume purchasing and selling.

In simple terms, large-scale retailing is the retailing of goods and services by relatively large and well-organized businesses that serve a large number of consumers and operate with substantial resources.

7.2B TYPES OF LARGE SCALE RETAILING

A MULTIPLE SHOPS OR CHAIN STORES:

These are large scale retail businesses consisting of a number of similar shops or branches spread or located in different towns/ cities all over a country. They sell the same type of goods and all the shops are controlled from the head office e.g. Lennards, Challenge Bookshop, Famad etc

FEATURES OR CHARACTERISTICS OF MULTIPLE SHOPS

1. Standard or identical shop design.
2. Dealing in one line of product in their branches.
3. They have centralized form of administration and ownership.
4. They operate on the basis of cash and carry.
5. Prices of goods sold in all branches are fixed by the head office.
6. They practice self-service.

ADVANTAGES OF MULTIPLE SHOPS

1. They are easy to identify.
2. Staff can be moved between branches.
3. Their cash and carry system reduces the incidence of bad debts.
4. They save a lot of cost in advertising.
5. Unsold stock in one branch can be moved to other branches.

DISADVANTAGES OF MULTIPLE SHOPS

1. They deal in limited range of products.
2. The cost of setting up multiple shops all over the country is very large.
3. They do not offer credit facilities to customers.
4. No personal attention is given to customers.
5. Less control is exercised by branch managers.

B DEPARTMENTAL STORES

This is a large single retail outlet selling a wide variety of goods in separate departments. Each department specializes in a particular line of goods different from those of other departments.

A departmental store is often referred to as many shops under one roof and common management e.g. UTC Stores, Cash and Carry, UAC Stores etc.

FEATURES OF DEPARTMENTAL STORES

1. They are divided into different departments.
2. Buying and selling is decentralized.
3. They deal in a wide range of goods.
4. They practice self-service
5. They are located in the centre of cities and urban areas.

ADVANTAGES OF DEPARTMENTAL STORES

1. They stock a wide variety of goods.
2. They are easily located by customers.
3. There is self service and orderliness.
4. Impulse buying is possible as shoppers move from one department to another.
5. Goods in one section help to advertise goods in other sections.

DISADVANTAGES OF DEPARTMENTAL STORES

1. Lack of personal attention for customers.
2. High running expenses/overhead costs.
3. Pilfering and shoplifting (i.e. stealing of goods) is rampant.
4. It requires large capital to set up.
5. They do not allow customers to return goods.
6. They give little or no credit to customers.

EVALUATION

1. Describe any four features of a multiple shop
2. With the aid of a diagram, illustrate six branches of trade and show six types of retail outlets
3. List three disadvantages of departmental stores to (a) The customers (b) The owners

TYPES OF LARGE RETAILING

C SUPERMARKET

This is a large scale retailing shop offering for sale, principally by self service, house hold goods like groceries, provisions, tinned foods, frozen food, vegetables, fresh fruits etc.

FEATURES OF SUPERMARKET

1. They operate the system of self service.
2. They deal in a wide range of goods
3. They are located in urban centers e.g. Lagos.
4. They stock household goods and food items
5. They operate with few sales attendants

THE ADVANTAGES AND DISADVANTAGES OF SUPERMARKETS ARE SIMILAR TO THOSE DEPARTMENTAL STORES.

D HYPERMARKETS

These are extra large or giant supermarkets that deal in greater variety of goods. They are usually located at the outskirts of town and cities. Unlike supermarkets, hypermarkets also deal in consumer durables and they offer car parking facilities for customers

E MAIL ORDER BUSINESS

This is a form of large scale retailing in which buying and selling is carried out through the Post Office or through agents.

The Mail Order firms contact prospective customers by mail, receive their orders by mail and make delivery of goods to customers also by mail. It involves the use of specially prepared catalogues that presents the retailer's products both visually and in writing.

FEATURES OF MAIL ORDER BUSINESS

- 1) Retailing is done through the Post Office or through agents.
- 2) Intensive advertising through catalogues, newspapers is involved.
- 3) They deal in a wide range of durable goods.
- 4) It requires a large warehouse for storing goods.
- 5) It requires few workers for its operations.

ADVANTAGES OF MAIL ORDER BUSINESS

1. The business pays low rent as it can operate a warehouse located out of town.
2. It requires few salesmen or sales assistants.
3. Expensive fixtures and displays are not needed.
4. They provide a variety of goods.
5. There is opportunity for advertising through catalogues.

DISADVANTAGES OF MAIL ORDER BUSINESS

1. It is completely dependent on the efficiency of the postal system.
2. Customers are not able to assess the quality of goods before buying them.
3. Lack of personal contact with customers
4. High advertising costs e.g. cost of printing a catalogue
5. There is possibility of goods being lost or damaged in transit.

F. RETAIL CO-OPERATIVE SOCIETY

This is a form of co-operative in which many small independent retailers pool their resources together to enable bulk purchases and then sell the goods at lower prices. The profits are shared in proportion to the amount of purchase made by each member.

G. VARIETY CHAIN STORES

These are large retail stores which combine some aspects of both departmental stores and multiples shops. No notable example can easily be found in Nigeria.

Features of Variety Chain Stores

1. Many branches all over the country
2. Uniform shop design
3. They deal in variety of goods
4. Stores are under one roof but without clear divisions into departments
5. Centralized management as in multiple shops

EVALUATION

1. List four disadvantages of Mail Order Business
2. State five factors accounting for the growth of large scale retailing in Nigeria

READING ASSIGNMENT

Essential commerce for SSS by O.A Longe Page 25-31

WEEKEND ASSIGNMENT

1. A multiple shop has many stores which sell (a) locally produced goods (b) manufactured goods (c) perishable goods (d) similar goods
2. Buyers often find mobile shops unsuitable because (a) The choice of goods is limited (b) They operate at odd hours (c) They sell only perishable goods (d) They are operated by sole traders
3. Which of the following offers self-service (a) hawking (b) peddling (c) mobile shop (d) departmental store?
4. Many stores under one roof is called (a) co-operative stores (b) departmental stores (c) multiple stores (d) supermarkets.
5. A large retail organization with a number of sections selling different goods in the same building is called (a) chain store (b) multiple shop (c) self-service shop (d) departmental store

THEORY

1. List three types of large scale retail outlets.
2. State three advantages of multiple shops to the customers.

GENERAL EVALUATION

1. Explain five advantages of large scale retailing
2. State five characteristics of departmental stores
3. List five disadvantages of hawking as a form of retailing
4. State five services provided by a retailer to his customers
5. List five factors that should be considered in starting a retail business

STUDY SESSION EIGHT: Modern Trends in Retailing

8.0 INTRODUCTION

This session provides readers with a detailed explanation of modern trends in retailing, their meaning, characteristics, importance, and impact on the retailing industry. Modern retailing refers to the adoption of new methods, technologies, strategies, and business practices by retailers to meet the changing needs and expectations of consumers. These developments have transformed the way retailers purchase, display, promote, sell, and distribute goods and services.

The session examines the major trends influencing modern retailing, including e-retailing, online shopping, mobile commerce, digital payment systems, social media marketing, self-service retailing, automated retailing, customer relationship management, and the use of artificial intelligence and data analytics. These trends have enabled retailers to improve operational efficiency, provide greater convenience, personalize customer experiences, and reach consumers across wider geographical markets.

In addition, the session discusses the growth of omnichannel retailing, which involves the integration of physical stores, websites, mobile applications, social media platforms, and other sales channels. It explains how retailers combine different channels to provide consumers with a seamless shopping experience. The session also considers the increasing importance of home delivery, click-and-collect services, digital platforms, and contactless transactions in modern retail operations.

Furthermore, the session highlights the growing importance of technology in retailing. Modern retailers increasingly use electronic point-of-sale systems, inventory management software, artificial intelligence, customer databases, digital advertising, electronic payment systems, and data analytics to improve decision-making and business performance. Technology has also made it possible for retailers to understand consumer behaviour and respond more effectively to changing market conditions.

The session also examines emerging consumer trends that influence retailing. Consumers increasingly demand convenience, competitive prices, product variety, faster delivery, personalized services, flexible payment options, and convenient access to products through digital channels. Environmental awareness has also encouraged retailers to adopt sustainable practices such as environmentally friendly packaging, responsible sourcing, waste reduction, and energy-efficient operations.

The session further considers the advantages and challenges associated with modern retailing. Modern retail practices can increase market reach, improve customer service, reduce operating inefficiencies, strengthen competitiveness, and create new business opportunities. However, retailers may also face challenges such as high technology costs, cybersecurity risks, intense online competition, changing consumer expectations, data privacy concerns, and the need for continuous innovation.

8.1 LEARNING OUTCOMES FOR THE STUDY SESSION

When you have studied this session, you should be able to:

- i. Define modern retailing and explain its meaning and scope.

- ii. Identify and describe the major trends influencing modern retailing.
- iii. Explain the role of information and communication technology in modern retailing.
- iv. Discuss the growth and importance of e-retailing, online shopping, and mobile commerce.
- v. Explain the concept and importance of omnichannel retailing.
- vi. Discuss the role of digital payments, social media, and data analytics in modern retailing.
- vii. Explain how changing consumer behaviour influences modern retail practices.
- viii. Identify and discuss the importance of artificial intelligence and automation in retailing.
- ix. Explain the growing importance of sustainability and environmentally responsible retailing.
- x. Identify and discuss the major advantages and challenges associated with modern trends in retailing.

8.2 Self-service

This is a method that allows customers to do their shopping in a shop with little or no assistance from sales attendants. The goods are conspicuously displayed and arranged on the shelves of shops with price tags. The customer goes about in the shop, examines the goods displayed, compares them, tries them on, where necessary, select those of his choice and gathers them in a basket or tray made available in the shop. The customer finally approaches the checkout counter where he pays for the goods bought to the cashier. This arrangement saves time because it avoids bargaining. Self-Service is associated with large scale retailers who have enough space and the necessary equipment e.g. supermarket, departmental stores, hypermarkets etc

FEATURES OR CHARACTERISTICS OF SELF-SERVICE

1. Few shop attendants are required
2. Goods are displayed with price tags
3. use of trolleys and baskets is common
4. Customers move around to select their choice of goods
5. Large space is required
6. Security men or close – circuit cameras are employed to forestall pilfering
7. Goods are paid for at the check out counter
8. Goods are pre-packed and neatly labeled.

ADVANTAGES OF SELF SERVICE

1. Customers have freedom to select their choice of goods
2. Purchasing is quick and fast
3. Labour cost is reduced as there is no need to employ many sales attendants
4. It encourages impulse buying which increases sales
5. The spacious environment enhances the convenience of customers
6. The benefits of loss- leaders to both sellers and buyers can be maximized.

DISADVANTAGES OF SELF SERVICE

1. Shop-lifting or pilfering is rampant
2. More rapid deterioration of goods due to constant handling by customers
3. High cost of checking shop lifting or pilfering e.g cost of close circuit camera, store detectives can increase cost of operation.

4. Expensive facilities are needed e.g. larger floor space, trolley, baskets
5. Less personal attention is given to customers
6. It is not suitable for all types of goods
7. Self-service reduces employment opportunities for shop/store assistants
8. prices are not negotiable
9. Goods selected and paid for are not returnable
10. Setting it up is capital intensive .

8.3 BRANDING

This is a general term covering names, design, marks, symbols or description which may be used by a producer to distinguish his goods from that of other organization. Branded goods are therefore, goods sold under a refrigerated trade mark or trade name to distinguish one manufacture products from similar products of other manufacturers. Examples of brand or trade names are Elephant, Omo, Ariel for detergents: Pepsodent, Close up, Colgate, MacLean for toothpaste etc.

ADVANTAGES OF BRANDING

1. It ensures high quality goods
2. It saves cost of advertising
3. Consumer can select without any problem
4. Goods are standardized i.e. uniformly packed
5. It prevents product adulteration and imitation
6. branding aids inspection and ordering of goods by appropriate description
7. It encourages self-service
8. Recommended prices by the manufacturers can be shown in advertisement so that consumers are not cheated by retailers.

DISADVANTAGES OF BRANDING

1. Highly advertising cost
2. Branding can create impulsive buying on the part of the customers
3. Necessity to stock many brands of the products if the retailer is to please all his customers
4. Price cutting wars may be unhealthy for smaller firms.

EVALUATION QUESTION

1. What is self-service?
2. Give four reasons for the introduction of self-service
3. State five features of self-service

8.4 AFTER SALES SERVICES

After sales service: these are extra services which retailers render to their customers after purchasing their products in order to ensure constant patronage. The after sales services are usually extended to the buyer of a commodity free of charge. The extra services may be free delivery, free advice as to how the product concerned is used or operated free repairs, free fixing or installation of the article, replacement, maintenance etc. it may also be in form of a guarantee or warranty. It is used mainly for technical goods.

FACTORS DETERMINING THE LEVEL OF AFTER SALES SERVICES TO BE PROVIDED

Whether or not after-sales services will be provided, and to what extent will depend on the following factors:

1. Type of goods involved e.g. electrical appliances and drugs require the explanation of how they are to be used.
2. The cost of the good; Goods that are expensive are necessary backed up with a guarantee
3. The practice of competitors: Where the selling of a particular article is very competitive, free deliveries could be offered to maintain customers.

4. Cost of rendering the after-sales services. If the sellers profit margins is not much affected then after-sales services are offered.
5. Legal requirements – some consumer protection laws require the seller to grant guarantee to the buyer.

ADVANTAGES OF AFTER-SALES SERVICES

1. Increased volume of sales
2. Customers enjoy better personal attention from sellers
3. Customers develop greater confidence in article bought when given guarantee
4. The quality of goods is assured.
5. Sellers goodwill and reputation is greatly improved
6. The manufacturer can easily keep his technical details secret
7. It enhances the usefulness of a product

DISADVANTAGES OF AFTER-SALES SERVICES

1. Higher price may be charged for the extra services i.e. the cost of such services are often included in the price of the goods.
2. Customers may be wrongly advised
3. Customer's choice in maintenance is often limited.

8.5 AUTOMATIC VENDING/VENDINGMACHINES

This involved the sale of goods to customers through coin-operated (or card operated) machined. The buyer drops the correct amount of coin or inserts a magnetic card into the appropriate slot or hole in the machine and get the product required. The machines are located in areas where large number of people converge e.g offices, schools, sport arena, cinema, churches, etc, the products sold through automatic vending are typically small and branded. E.g. candles, soft drink, ice cream, coffee, and tea, cigarette, snacks, postage, telephone service, automated tellers – that dispenses cash etc.

ADVANTAGES OF AUTOMATIC VENDING

1. Available for twenty four hours daily and every day of the week
2. Availability of a wide range of goods
3. The machine saves a lot of time
4. It saves labour cost. It makes little use of human labour and is therefore very useful for sales points where the volume of sales is low
5. Standard price is charged. i.e there is uniformity in price for the same quantity of goods
6. It is good for emergency situation e.g. automatic teller machines
7. Recording after slotting of money or cards makes for accountability
8. It ensures self-service
9. It economizes the use of space
10. Pilfering is avoided.

DISADVANTAGES OF AUTOMATIC VENDING

1. Cost of purchasing the machine is high
2. Customers can usually obtain only one items from a machine
3. It may be vulnerable to pilferage
4. It attracts additional maintenance cost.
5. Prices of goods are high as a result of the expensive machine used
6. Limitation to the wroth of goods to be bought where the machine accepts only coin
7. The buyer must hold the actual amount because there is no provision for balance or change
8. It offers-limited range of items
9. Faults in the machine may not be easily detected
10. A lot of money is spent on providing security

EVALUATION QUESTIONS

1. Explain the following and give three benefits of each
 - i. After sales service
 - ii. Vending machine
2. Give the examples of after-sales services.

READING ASSIGNMENT

1. Comprehensive Commerce for SSS by J.U Anyale pg 87-89
2. Essentials Commerce for SSS by O.A Longe pg 30-32.

WEEKEND ASSIGNMENT

1. Automatic vending machine facilitate
(a) wrapping (b) cash deposit (c) sales of tools (d) self services
2. Which of the following makes sales possible without a sales attendant?
(a) telex machine (b) fax machine (c) vending machine (d) franking machine
3. The practice of offering a commodity for sale at an unprofitable price in order to attract buyer to a shop is known as
(a) auction sales (b) loss leader (c) price ring (d) market segmentation.
4. Which of the following cannot be sold through a vending machine?
(a) ice-cream (b) shoes (c) tea (d) tickets
5. Mail order firms largely depend on the services of the
(a) banks (b) insurance companies (c) mobile van (d) post offices.

THEORY

1. State four advantages of automatic vending
2. List two disadvantages of after-sales service

GENERAL EVALUATION

1. Give five reasons why retail shops adopt self service
2. Explain six facilities that a retail shop should have to encourage self service
3. Explain five types of large scale retailing
4. State five advantages of after sales services
5. List seven disadvantages of automatic vending

STUDY SESSION NINE: Wholesale Trade

9.0 INTRODUCTION

This session provides readers with a detailed explanation of wholesale trade, its meaning, characteristics, functions, types, importance, and role in the distribution of goods and services. Wholesale trade refers to the business activity of purchasing goods in large quantities from manufacturers, producers, or other suppliers and selling them in smaller quantities to retailers, other wholesalers, institutional buyers, and business users. Wholesalers generally operate as intermediaries between producers and retailers and play an important role in ensuring that goods move efficiently from the point of production to the final market.

The session examines the major characteristics of wholesale trade, including large-volume purchases, bulk breaking, storage of goods, relatively large transactions, limited direct contact with final consumers, and the use of warehouses and distribution facilities. It also explains how wholesalers obtain goods from manufacturers and other suppliers and distribute them to retailers and other business customers.

In addition, the session discusses the major types of wholesalers, including merchant wholesalers, agents and brokers, manufacturers' sales branches, general wholesalers, specialized wholesalers, cash-and-carry wholesalers, and other forms of wholesale businesses. Each type performs different activities and operates according to the nature of the products, customers, and markets served.

Furthermore, the session highlights the major functions performed by wholesalers in the distribution process. These functions include buying and assembling goods, selling and promoting products, bulk breaking, warehousing, transportation, financing, risk bearing, grading and packaging, providing market information, and facilitating the movement of goods between producers and retailers.

The session also explains the importance of wholesale trade to producers, retailers, consumers, and the economy. Wholesalers help manufacturers reach a wider market, reduce the number of direct transactions required between producers and retailers, provide storage facilities, ensure regular supplies of goods, and make distribution more efficient. They also assist retailers by providing products in convenient quantities and offering information about market conditions and consumer demand.

The session further examines the advantages and challenges associated with wholesale trade. The advantages include economies of scale, efficient distribution, availability of goods, reduced distribution costs, specialized services, and improved market access. However, wholesalers may face challenges such as high operating costs, inventory risks, changing consumer behaviour, competition from direct selling and online platforms, price fluctuations, and the increasing use of modern distribution technologies.

9.1 LEARNING OUTCOMES FOR THE STUDY SESSION 3

When you have studied this session, you should be able to:

- i. Define wholesale trade and explain its meaning and scope.
- ii. Identify and describe the major characteristics of wholesale trade.
- iii. Explain the different types and forms of wholesalers.

- iv. Discuss the major functions performed by wholesalers in the distribution process.
- v. Explain the importance of wholesale trade to producers, retailers, consumers, and the economy.
- vi. Describe the relationship between wholesalers, manufacturers, retailers, and other business users.
- vii. Explain the advantages and disadvantages of wholesale trade.
- viii. Identify and discuss the major challenges affecting wholesale businesses.
- ix. Explain the role of wholesalers in facilitating the efficient distribution of goods and services.
- x. Discuss the impact of modern technology and changing business practices on wholesale trade.

9.2 Wholesale trade

Wholesale trade (wholesaling) involves the buying of goods in large quantities from the producers or manufacturing and re-selling in small quantities to retailer. A wholesaler is a trader who purchases goods in large quantities from the manufacturing and sell in small quantities to the retailers.

FUNCTIONS OF THE WHOLESALER

A. To the Manufacturer

1. He gives useful information and advice to the manufacturer e.g. in respect of level of demand for goods etc.
2. The wholesaler provides warehouse and storage facilities for storing goods, thereby helping the manufacturer to have enough space for further production.
3. Preparation of commodities for sale: The wholesaler sometimes label, package, blend or brand the goods before he sells them.
4. Advertising and promotion of goods: The wholesaler creates awareness for goods through advertising and sales promotion.
5. The wholesaler finances the manufacturer by paying for goods in advance
6. provision of transport facilities needed for the distribution of the goods.
7. Quantity of bulk buying. The wholesaler buys in larger quantities, this encourages the manufacturer to produce more and thereby reap the advantages of large scale production.
8. The wholesaler bears part of the risks involved in production and distribution of goods e.g. risk of a fall in price change in fashion, deterioration of goods. Etc
9. Quality control: The wholesaler may sometimes verify the quality of the products before distributing it i.e. grading of commodity products e.g. cocoa.

B. To the Retailer

1. The wholesaler breaks bulk by selling in small quantities to the retailer
2. The wholesaler finances the retailer by granting him credits
3. The wholesaler sometimes
4. Provision of advice and information e.g. on new goods, market trends
5. Stabilization of prices : By storing goods in his warehouse and thereby regulating supply to the market, the wholesaler keeps prices fairly stable for retailers
6. he provides the retailer with a variety of goods.

TYPES OF WHOLESALERS OR MIDDLEMEN

1. General wholesalers
2. Specialist wholesaler
3. Cash and carry wholesalers
4. Factors (or Mercantile Agents)
5. brokers
6. Jobbers
7. Del Credere Agents (wholesalers)
8. Auctioneers
9. manufacturer Representative
10. Commission Agents.

EVALUATION QUESTIONS

1. Outline five services rendered by the wholesaler to the manufacture
2. State five differences between a wholesaler and a retailer
3. Define the term wholesaling
4. List three functions of the wholesaler to the consumer.

9.3 CHANNEL OF DISTIBUTION

The channel of distribution describes the path through which goods moves from the products to the consumer.

The channel of distribution for goods could be any of the following:

Producer - Wholesaler - Retailers - Consumers

Producer - Wholesaler – Consumers

Producer - Retailers - Consumers

Producer - Agent - Retailer - Consumers

Producer - Agent - Consumers

FACTORS TO BE CONSIDERED BEFORE CHOOSING A PARTICULAR CHANNEL OF DISTRIBUTION OF A COMMODITY

1. The type of nature of the commodity e.g. whether it is a perishable good or durable goods.
2. Geographical consideration e.g the location of customers
3. The existing and potential demand for the commodity i.e the extent of demand for the product.
4. How regular the demand for the product is
5. The number of retail outlets in an area
6. The producers capital, financial position, organizational ability and selling skills
7. The size of customers orders
8. The quantity of goods involved
9. The channel used by competitors
10. The cost implication of the channel being considered
11. The customs of the particular trade e.g. distribution of newspapers

REASONS WHY MIDDLEMEN (WHOLESALSER/RETAILERS) ARE SOMETIMES OMITTED OR ELIMINATED FROM THE CHANNEL OF DISTRIBUTION

1. When the producer is dealing with large orders from the customers.
2. When perishable goods are involved, it cannot be passed through a long channel of distribution.
3. Where the goods are of technical nature, and therefore, after-sales e.g. repairs are likely to be involved.
4. Where the producer operates his own retail outlets e.g FAMAD, Len nards
5. Where the consumers has ordered goods to his specification e.s special styles or customized orders.
6. Where the manufacturers operates a mail order business
7. Where the goods involved are durable and have a low turnover ekg, furniture
8. Where the goods involved is expensive and the buyer have to pay in advance before it is manufactured by the producer e.g. ships, aero plane, plants.

9. When new products are being introduced by the producer
10. When the producer wants to maintain fixed prices for his products
11. Where the goods are requested by Co-operative Consumers; Association i.e where consumers have combined their orders.

WHY WHOLESALE PRICES ARE LOWER THAN RETAIL PRICES

1. The wholesaler buys in bulk and at reduced prices
2. The wholesaler buys directly from the manufacturer
3. The wholesaler usually pays promptly or even sometimes pay in advance for goods – therefore he buys at a cheaper rate.
4. The wholesaler gets both trade and cash discount.
5. The retailer sells in units.

EFFECTS OR REASON WHY LARGE NUMBR OF MIDDLEMEN SHOULD NOT BE ENCOURAGED IN THE DISTRIBUTION OF GOODS

1. They increased the prices of goods
2. They cause artificial scarcity through hoarding of goods
3. They cause price differences in different areas
4. They cause inflation
5. It could encourage the distribution of fake or sub-standard product.

EVALUATION

1. Give six reasons fort the existence of the wholesaler in the channel of distribution
2. Why does the wholesaler need more/bigger operating capital than the retailer
3. State two advantages of any two channels of distribution to the producer

READING ASSIGNMENT

Comprehensive Commerce SSS page 34-37
Essential Commerce for SSS page 98-106

WEEKEND ASSIGNMENT

1. Which of the following is likely to have the highest rate of stock turnover? (a) bread (b) jewelry (c) machinery (d) furniture
2. The path through which a product moves from its manufacturing point to consumption is known as
(a) medium of exchange (b) chain of production (c) channel of distribution (d) product life cycle.
3. Manufacturers sells directly to consumers when they (a) want to make profit (b) wish to eliminate all transport costs (c) live far away from them (d) deal in perishable goods.
4. Which comes first in the channel of distribution? (a) Consumer (b) manufacturer (c) retailer (d) wholesaler
5. Who among the following assess goods on arrival at a port? (a) agent (b) importer (c) customs (d) ship owner

THEORY

1. State three channel of distribution of goods
2. State three reasons why wholesale prices are lower than retail prices.

GENERAL EVALUATION QUESTIONS

1. State six features of mail order business
2. List and explain six modern trends in retailing
3. Give five factors that determine the choice of a channel of distribution for goods
4. In what four circumstances will it be advantageous to eliminate the wholesaler from the channel of distribution
5. List six factors that have contributed to a decline in the importance of the wholesaler.

STUDY SESSION TEN: Warehousing

10.0 INTRODUCTION

This session provides readers with a detailed explanation of warehousing, its meaning, characteristics, functions, types, importance, and role in the distribution of goods and services. Warehousing refers to the activity of receiving, storing, protecting, managing, and distributing goods until they are required by manufacturers, wholesalers, retailers, or final consumers. Warehouses serve as important links between the production and consumption of goods by ensuring that products are available at the right place and at the right time.

The session examines the major characteristics of warehousing, including the storage of goods, protection of products, inventory management, preservation of goods, handling of materials, and efficient movement of products. It also explains the need for warehouses to be properly located, organized, equipped, and managed to facilitate the smooth distribution of goods.

In addition, the session discusses the major types of warehouses, including private warehouses, public warehouses, bonded warehouses, cooperative warehouses, government warehouses, distribution centres, cold-storage warehouses, and automated warehouses. Each type of warehouse serves different purposes depending on the nature of the goods stored, ownership arrangements, storage requirements, and the needs of the users.

Furthermore, the session highlights the major functions performed by warehouses. These functions include receiving goods, storing products, protecting goods from damage and deterioration, maintaining adequate stock levels, grading and packaging, order processing, inventory control, and facilitating transportation and distribution. Warehousing also helps businesses manage seasonal production and demand by making goods available when they are needed.

The session also explains the importance of warehousing to producers, wholesalers, retailers, consumers, and the economy. Effective warehousing ensures a continuous supply of goods, reduces distribution difficulties, supports large-scale production, stabilizes the availability of products, creates employment opportunities, and improves the efficiency of the distribution process. It also enables businesses to purchase and store goods in large quantities and release them gradually according to market demand.

The session further examines the advantages and challenges associated with warehousing. The advantages include protection of goods, regular supply of products, efficient inventory management, reduction of distribution delays, price stabilization, and improved customer service. However, warehousing may involve challenges such as high construction and operating costs, inventory losses, theft, deterioration of goods, inadequate storage facilities, and the need for skilled personnel and modern technology.

The session also considers modern developments in warehousing, including computerized inventory management, barcode systems, radio-frequency identification, automated storage and retrieval systems, warehouse management software, robotics, and other digital technologies. These developments have improved the accuracy, speed, security, and efficiency of modern warehousing operations.

10.1 LEARNING OUTCOMES FOR THE STUDY SESSION 10

When you have studied this session, you should be able to:

- i. Define warehousing and explain its meaning and scope.
- ii. Identify and describe the major characteristics of warehousing.
- iii. Explain the major types and forms of warehouses.
- iv. Discuss the major functions performed by warehouses.
- v. Explain the importance of warehousing to producers, wholesalers, retailers, consumers, and the economy.
- vi. Describe the role of warehousing in the distribution of goods and services.
- vii. Explain the advantages and disadvantages of warehousing.
- viii. Identify and discuss the major challenges affecting warehousing operations.
- ix. Explain the relationship between warehousing, inventory management, transportation, and distribution.
- x. Discuss the role of modern technology in improving warehousing operations and efficiency.

10.2 Warehousing

Warehousing is the act of storing goods produced or bought in a place until they are needed. Warehousing ensures that there is a regular and steady supply of goods. A warehouse is a place where goods are kept until they are needed.

IMPORTANCE OF WAREHOUSING

1. It provides protection and security for goods.
2. It encourages large scale production it ensures production of goods ahead of demand.
3. It helps to stabilize prices of goods by reducing fluctuation of prices due to supply level.
4. It facilitates re-packaging and branding of goods.
5. It ensures constant and steady supply of goods throughout the year.
6. It provides employment opportunities e.g. for warehouse keepers.
7. It is a source of income for the owners e.g. rent received etc.
8. It promotes emancipator purchases.

TYPES OF WAREHOUSING

1. Ordinary warehouse: This may be called goods warehouse – i.e where goods are stored by traders and manufacturer until they are needed. It could either be;
 - a) Wholesaler warehouse
 - b) Manufacturers warehouse
 - c) Public warehouse
2. Bonded warehouse: This is a warehouse where goods whose customs duties have not been paid are stored until the duties are settled by the Owners. Bonded warehouse is

- privately owned by are under the supervision of the Customs Authority. They are usually located near the port (seaport or airport) for storing goods until the duties are paid.
3. State warehouse (Queen's warehousing or Government warehouse): This is a warehouse where seized contraband goods (e.g smuggled goods) are kept until they are sold on auction to members of the public.

EVALUATION

1. List and explain five types of warehouse
2. Explain five importance of warehousing in commerce.

10.3 USEFULNESS OF BONDED WAREHOUSE IN FOREIGN TRADE

- i. Bonded warehouse provides security (safety) for goods imported from other countries whose duties have not been paid
- ii. The importer will be allowed adequate time to pay the charged customs duties
- iii. It facilitates foreign trade
- iv. The period of bond enables the customs authority to have enough time to inspect the goods and calculate the actual value of import duties.
- v. Goods in bonded warehouse can be easily sold by the importer while in bond in which case the buyer will settle the import duty.
- vi. Production processes like branding, packaging, can be done while the goods are still in bond.

FACTORS TO BE CONSIDERED IN SITTING A WAREHOUSE

1. Location of the factory i.e proximity of the warehouse to the factory
2. Nearness to the market
3. Nearness to the distribution centres
4. operating costs (running cost) involved in the operation of the warehouse
5. cost of building or renting the warehouse
6. The mode of transportation to be employed
7. Consumers buying pattern
8. Good road network and availability of other infrastructure e.g telecommunication
9. Regular power supply e.g. for frozen food items
10. Presence of security and safety.

DOCUMENTS USED IN WAREHOUSING

1. Dock Warrant: This is the document issued by the warehouse authorities to depositor of goods. It is a document of title transferable by endorsement
2. Delivery Order; this is a document issued by a dock warrant holder to enable a third party collect a specified part of the goods from the warehouse.

EVALUATION

1. Write short notes on the following;
(a) Dock Warrant (b) Delivery Order
2. Outline five factors to be considered in sitting a warehouse

READING ASSIGNMENT

Comprehensive Commerce SSS page 37-39
Essential Commerce for SSS page 107-115

WEEKEND ASSIGNMENT

1. The receipt issued by a warehouse keeper for goods taken into the store is called
(a) warranty (b) dock warrant (c) customs warrant (d) drawback warrant
2. Warehousing is one of the functions of the (a) wholesaler (b) retailer (c) government (d) ministry of trade and industry.
3. Which of the following warehouses is generally found near a port?.....warehouse (a) manufacturer (b) wholesaler (c) bonded (d) distributors
4. Who among the following is a middleman? (a) manufacturer (b) agent (c) insurer (d) consumer
5. An individual who makes the final use of goods and services provided by a firm is the (a) wholesaler (b) retailer (c) consumer (d) manufacturer.

THEORY

1. What is warehouse?
2. State three ways in which warehousing is important to commerce.

GENERAL EVALUATION

1. Explain six functions of the wholesaler to manufactures.
2. State six reasons why a producer may distribute goods directly to consumers.
3. List five advantages and four disadvantages of branding.
4. State five importance of warehousing to Commerce.
5. Give six reasons why manufacturers pre – package their products.